

Disciplined Entrepreneurship Workbook

Step 4: Calculate the Total Addressable Market (TAM) Size for the Beachhead Market

General Exercises to Understand Concept

1. What do you think the TAM is for toothbrushes in the USA? What assumptions did you make in calculating it?

2. Now what would you estimate as the TAM for high-quality electric toothbrushes that cost \$150 in the USA? What assumptions did you make in calculating it?

What are the biggest unknowns in your assumptions that you would need to research further?

Worksheets

Top-Down Estimate of Number of End Users in Beachhead Market

Number of People In Your Largest Demographic or Psychographic Characteristic = _____	Based on End User Profile Characteristic: _____ Assumption(s): _____ Source(s): _____
1st Segmentation Based on End User Profile = _____	Based on End User Profile Characteristic: _____ % of Previous Segment: ____% Assumption(s) for Calculation: _____ Source(s): _____
2nd Segmentation Based on End User Profile = _____	Based on End User Profile Characteristic: _____ % of Previous Segment: ____% Assumption(s) for Calculation: _____ Source(s): _____
3rd Segmentation Based on End User Profile = _____	Based on End User Profile Characteristic: _____ % of Previous Segment: ____% Assumption(s) for Calculation: _____ Source(s): _____
End Users in Beachhead Market = _____	Based on End User Profile Characteristic: _____ % of Previous Segment: ____% Assumption(s) for Calculation: _____ Source(s): _____

I.	<u>One Time Charge Data Point</u>	
Ia	Estimation of price per unit	
Ib	Number of units needed per end user	
Ic	Average Life Relevant? (assume repurchase)	
Id	Average Life of Product in year	
Ie	Annualized Revenue (Ia*Ib)/Id (Data Point 1)	
II.	<u>Budget Available Data Points</u>	
IIa	Current Spend per end user (Data Point 2)	
IIb	Total budget for the end user	
IIc	What % of budget could go to this solution reasonably?	
IId	Annualize Revenue (IIb*IIc) (Data Point 3)	
III	<u>Comparables</u>	
IIIa	Who are the comparable for your business?	
IIIb	What are the comparable products?	
IIIC	What is the comparable converted to similar annualize revenue (Data Points 4 plus however many more you deem relevant)	
IV	<u>Interpreting the Results</u>	
IVa	Consensus on estimate of annualized revenue per end user (a range is fine)	
	How did you end up at this number/range?	

Now the final items beyond just a beachhead market TAM are the other dimensions that are important to provide more meaning to the overall number. A \$10M beachhead market TAM that has 99% profitability where you can win 100% market share in less than a year, which also happens to be growing at 30% a year, is totally different than a \$10M beachhead market TAM with 10% profitability where you will only get 10% market share after 3 years of effort and the market is shrinking each year.

This information should be collected and then added in to fill out the Top-Down TAM Analysis Summary below to give a robust sense of the economic attractiveness of market characteristics of the beachhead market.

Top-Down TAM Analysis Summary				
1	Total # of end users in the broad market segment		Source/ Based on:	
2	Total # of end users in the targeted sub-segment your BHM		Source/ Based on:	

3	Annual monetizable revenue per end user		Source/ Based on:	
4	Estimate of Top-Down TAM (line 2 times line 3)			
5	Estimate of Range of Profitability for Your Product		Source/ Based on:	
6	Estimated CAGR (Compound Annual Growth Rate)		Source/ Based on:	
7	Estimated Time to Achieve 20% Market Share		Source/ Based on:	
8	Anticipated Market Share Achieved if You are Reasonably Successful		Source/ Based on:	
	What are the 3 top assumptions that could affect the attractiveness of the beachhead market for your product (besides the product itself)?	1. 2. 3.		

Based on this summary analysis, use the below checklist to assess whether your beachhead market is a good size:

Checklist After TAM Analysis of Beachhead Market			
		Yes	No
1	Is the market big enough to be interesting?		
2	Is it reasonable in size for us to achieve meaningful word of mouth, meaning it is not too big?		
3	Is it possible to get to cash flow positive in this market in a reasonable period of time (typically 3 years but it might be shorter or longer depending on the		

	industry)? Note: This question takes into consideration the extra 4 factors described above		
4	Do I still feel good about this beachhead market as our initial market?		

If the answer to any of these is no, consider carefully before you move forward. Many of the high-profile entrepreneurs who have access to significant investment capital, or have a very strong personal balance sheet themselves, can ignore #3, but I would advise you to not ignore this question otherwise. It might be the second most important question for your survival. The most important question is the last one, because if you don't feel good about this market, you need to figure out why.

ADVANCED TOPICS: BOTTOM-UP TAM ANALYSIS

As mentioned, a bottom-up analysis is extremely powerful and gives you invaluable insights that are not generally possible through secondary research. Bottom-up analysis is also very time-consuming and difficult to get information for. If you are unsure about your market or your commitment to this idea, skip this part and come back later when you are more confident about your beachhead market and have a deeper understanding of the market. Most plans rely on top-down analysis, and while I think it's insufficient, it is the reality that bottom-up analysis is much, much harder to do.

The below worksheet uses a concept called "end user density" which allows you to complete a bottom-up analysis without the need to identify every single end user in a market, since that process can be prohibitively expensive in terms of time consumed.

To calculate end user density, you'll first need some way to divide up the market into countable units. For instance, in the SensAble example in *Disciplined Entrepreneurship*, we sold to companies that employed industrial designers, and they defined their countable entity as overall number of employees. Their resulting "designer density" for their market was expressed as the number of designers per thousand employees.

For a consumer product, your countable unit could be population, a specific socioeconomic segment of the population, the number of people who own another product, etc. For businesses it may be number of employees, revenue, products released each year, number of customers that company has, etc. These units depend on your situation. Clever choice of countable unit for density will give credibility to your TAM estimate, so spend some time to optimize your choice on this unit, understanding it is still an estimate.

Once you have defined your countable unit, go to three instances of this unit and "count noses," determine exactly how many end users are within that countable unit. Also determine how many people overall are in that countable unit.

Then, for each instance, determine what the annualized revenue per end user is, based on the unique circumstances of each instance. Do not guess, ask the people from this instance of the countable unit!

[Bottom-Up TAM Analysis Worksheet](#)

What countable unit are you using for end user density? _____

What are three instances of this countable unit you will be using to “count noses”?

1. _____ 2. _____ 3. _____

	<u>Instance 1:</u> _____	<u>Instance 2:</u> _____	<u>Instance 3:</u> _____
<u>Who did you speak to in order to gather this info?</u>			
<u># of end users</u>			
<u># of people in the countable unit</u>			
<u>Density ratio (# end users / # people in countable unit)</u>			
<u>How representative of the whole market do you believe this instance is?</u>			
<u>In this instance, what is your estimate of the annualized revenue per end user?</u>			

Based on the above table, what is a reasonable estimate of the end user density? _____

What is a reasonable estimate of the annualized revenue per end user? _____

Based on the end user density, what is a reasonable estimate for the number of end users in the market? _____

What is a reasonable estimate for the TAM (# end users multiplied by annualized revenue per end user)? _____

Four additional factors to consider:			
Estimate of Range of Profitability for Your Product		Based on:	
Estimated CAGR (Compound Annual Growth Rate)		Based on:	
Estimated Time to Achieve 20% Market Share		Based on:	
Anticipated Market Share Achieved if You are Reasonably Successful		Based on:	

1. Comparing your top-down and bottom-up analyses, which do you believe has more credibility? Why?

2. If you blend the two estimations, what is your final TAM size? What factors would make the TAM lower than you calculated? What are the factors that would drive the TAM much higher?
